

Graham, for there is more to him than meets the eye. First, Graham was born Grossbaum, a poor Jewish immigrant whose family name was changed to assimilate into American society and avoid antisemitism. Second, he was apparently fond of the axiom that he wished “every day to do something foolish, something creative, and something generous.” I suspect we would attract a different crowd to asset management with that subtitle on the cover. Indeed, it is an endearing and relatable motto, well-suited to some spectacularly successful investors. I am looking at you, Warren Buffett, zipping around on the back of a golf cart at 91 years old, having pledged 99% of your fortune and still leading one of the most valuable companies on earth. Not to mention Seth Klarman, the Oracle of Boston, who incidentally invited me to write this introduction, thereby checking off *generous* and *foolish* in a single stroke. Last, Graham could quote Kierkegaard (note to my fellow hedge fund managers: this is not the name of an artisanal beer). Here is the first lesson from Graham and Dodd: don’t rely on appearances, don’t trust first impressions, don’t jump to conclusions.

But I digress. Imagine my reaction when asked to write an introduction to the investing in distressed credit section of *Security Analysis*: “I don’t belong,” I thought, and not in the least because I’m French, female, and funny. Consider the intellectual context: two clans have battled to gain control of the investing theory landscape over the last 80-odd years. The Graham and Dodd gang, defenders of the value investing credo, who call New York’s Columbia Business School their turf, posit that financial instruments—stocks in particular—have an intrinsic value that is separate and different from their trading value. Investing consists of buying stocks where the latter is below the former by a considerable “margin of safety” (*i.e.*, undervalued stocks), and cashing in when inevitably albeit not necessarily swiftly, their trading value approaches intrinsic value. Their rivals, the Modern Portfolio clan from the mean streets of Chicago, led by Markowitz and